

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter. As of the time of this writing there have been several significant developments which have occurred since complainants' last Status Report docketed on January 28, 2019 (Document 194).

The Commission may recall that complainants' last Status Report outlined for the Commission the respondents' criminal activity, witness tampering and perjury, as well as the proffering of false and fabricated documents by respondents and their counsel, all of which have grossly tainted the Presiding Officer's Initial Decision due to the fact that the Presiding Officer had relied upon documents and testimony under oath now admitted to have been the product of witness tampering.

Regrettably, and due to the foregoing, complainants' Exceptions to the Initial Decision necessarily highlighted the fact that the Initial Decision, and the Commission's Docket for this proceeding are essentially a play-by-play guide for anyone seeking to defraud the shipping public and circumvent this Commission's enforcement apparatus - - they need only follow the steps taken by respondents herein as outlined in the 196 filings on this docket (as of this date) in this "relatively simple matter" involving four (4) automobiles.

The Commission may additionally recall that complainants' last Status Report went into detail regarding the issue of non-party, Sergey Kapustin ("Kapustin"), who previously sought, *inter alia* to 1) intervene in this matter; 2) have complainants' counsel 'disqualified' from representing the complainants herein; 3) to strike and/or 'seal' certain filings and documents in this matter; and 4) generally interfere with the orderly and expeditious litigation of this matter. Mr. Kapustin's deposition transcript from his September 14, 2018 *videotaped* deposition was cited on various issues, including his explanation that he had never read or reviewed any papers and affirmations submitted by him in this matter, and that he simply signed said papers which were drafted by respondents and their counsel, knowing they contained false statements of fact (including the Kapustin affirmations cited by the ALJ in the Initial Decision) and that he followed their instructions on how to file them with the Commission.¹

¹ We note that on February 12, 2019, and in response to complainants' last Status Report, respondents' counsel, Eric Jeffrey, Esq. filed "Respondents' Objection to Complainants' Second Unauthorized Sur-Reply" (Mr. Jeffrey's cover email accompanying the February 12, 2019 filing is annexed hereto as Appendix "B" and the complete filing will be provided upon request by the Commission). Inasmuch as Mr. Jeffrey considers himself to be the keeper of the Rules of Procedure, the Commission may also be familiar with "Respondents' Reply to Complainants' Motion for Who Knows What" (Document # 110 on FMC Docket No.: 15-11, at p. 2) wherein counsel makes reference to a May 3, 2016 email from the FMC Office of Administrative Law Judges explaining that "...all filings should be in the form of a status report or a motion if requesting action". It would seem that despite the foregoing, Mr. Jeffrey considers himself to be the only one to whom the Rules of Procedure do not apply, for example when on February 13, 2019, Mr. Jeffrey, without making a motion, sought to replace his February 12, 2019 filing referred to above (which contained grossly false statements of fact), and asking for that relief by email annexed hereto as Appendix "C" (to wit: replacement of the February 12, 2019 filing) from "Rachel" and "Sam", which was granted by the Office of the Secretary without a formal motion being made by respondents (see, Document #196 on this Docket).

Kapustin's deposition was then continued on February 25, 2019, subsequent to complainants' last Status Report and is cited below for the Commission's reference wherein he explains under oath that respondents' only roles with regard to the subject automobiles was to ship them and store them in Kotka, Finland and that respondents were never partners, investors, 60% owners, nor owners to "...even to a wheel of a car..." and that rather, respondents were creditors who provided Kapustin with a credit line in the total amount of \$450,120.00 with a 1.5 percent monthly interest rate. He additionally explains that when each of the subject automobiles were shipped from the United States to Finland, that respondents were provided with an original title and bill of sale in the name of the client, and that all of the clients' cars were accompanied by bill of sale.

As further set forth below, Kapustin explains that neither respondent Hitrinov nor respondent Empire United Lines Co. Inc. ever advised Kapustin that respondents submitted Shipper's Export Declarations (alternatively described as AES Direct Shipment Records) for the subject automobiles to the U.S. Department of Commerce on behalf of Global Auto and that Kapustin never authorized respondents to file such declarations with the U.S. Department of Commerce on behalf of Global Auto nor was he ever provided with such Shipper's Export Declarations.

In his transcript cited below, Kapustin also explains that he never authorized Empire United Lines Co. Inc. to list Carcont as an Ultimate Consignee on the Shipper's Export Declarations; that the Ultimate Consignee should have been stated on the requisite Shipper's Export Declarations; and that the actual owner of the car (to wit: the Ultimate Consignee) is the client who bought that car, for example complainant Igor Ovchinnikov, even if Carcont was listed as the warehouse where the car is shipped.

The Shipper's Export Declarations (also referred to and identified as AES Direct Shipment documents produced by respondents herein during discovery), which were attached to Kapustin's affirmation filed by him in this matter became part of the record per Order of the Presiding Officer and were relied upon heavily by the Presiding Officer in the Initial Decision.

Kapustin additionally explains that all of Global's clients had the option to pay 30% to 50% of monies due and owing for charges related to the subject cars and then pay the balance and that this would not have an impact on shipping instructions from Global to Empire regarding delivery of the car. Kapustin further explains that Empire had all of the requisite information at the moment that Global sent a request to Empire To ship a car, for example, where to ship the car and from whom to whom; and that if Kapustin's client purchased a car and if the car was shipped to the client, the name of the client should have been entered on the Empire Bill of Lading.

Per Kapustin's deposition testimony cited below, Global Auto never treated the identity of its customers as confidential in its dealings with Empire United Lines Co. Inc. or Carcont, and there were no secrets between them, and that rather, Empire and Carcont knew which cars coming from Global Auto were destined to be delivered to a certain customer.

In complainants' Exceptions to the Initial Decision, complainants highlighted the extent to which the Presiding Officer gave credit to and relied upon Kapustin's prior "representations" regarding the nature of the relationship between Global and respondents. Numerous findings of fact made by the Presiding Officer were based upon Kapustin's affirmation and sworn statements (and exhibits thereto) which became part of the record in this matter by Order of the Presiding Officer², all of which have now been disavowed by Kapustin as set forth herein, and leaving

² On this issue, the Commission is respectfully referred to Document # 72 on this Docket (to wit: Motion to Intervene, dated July 13, 2016); Document #83 on this Docket (to wit: Motion to Further Supplement, dated August 3, 2016); and Document # 150 on this Docket (to wit: Order Denying Motion To Intervene, wherein the Presiding Officer granted Kapustin's Doc # 83; Motion to Further Supplement, dated August 3, 2016).

complainants to now ‘clean up the mess’ created by respondents and their counsel in their attempt to defraud the Commission through witness tampering.

It is respectfully submitted while that the foregoing unequivocally serves as a basis for drastic action by the Commission to remedy the miscarriage of justice that has occurred in this matter, complainants are compelled to bring to the Commission’s attention additional new testimony under oath by Kapustin at his February 25, 2019 deposition which materially impacts the findings made by the Presiding Officer in the Initial decision regarding a falsified letter of January 11, 2012 (purportedly from Effect Auto Sales Inc. and described in the Initial Decision in Finding of Fact # 51). In said letter referred to by the Presiding Officer, Irina Kapustina states as follows: We don’t need any Empire bill of loading” and “if you have any questions please call Sergey Kapustin”. Mr. Kapustin now explains under oath that Irina Kapustina’s letter of January 11, 2012 looks like it “Is Some Kind Of Nonsense” Nonsense”, not a real letterhead used by Effect Auto Sales Inc., and that there is no original of Kapustina’s letter of January 11, 2012; that the letterhead of Kapustina’s letter of January 11, 2012, has the name of the company that is a U.S. company while the telephone numbers listed in this letterhead are Russian telephone numbers, the Moscow and the other phone numbers listed on Kapustina’s letter of January 11, 2012 do not look familiar to him; and Irina Kapustina did not have authority to write the letter of January 11, 2012, rather only Sergey Kapustin was responsible and had authority for operations of his companies.

To the extent that it was previously alleged by complainants in their filings with the Commission, it has now been confirmed by Kapustin that he never was able to read (and still cannot read English) nor did he review any papers or affirmations submitted by him in this matter; he simply signed said papers which were drafted by respondents and their counsel and he followed their instructions to file them with the Commission; and the documents drafted by respondents and their counsel were “Not A Single Word Of Truth”, as explained by Kapustin in his deposition testimony cited below.

As to the “Dock Receipts” attached to Kapustin’s affirmation which became part of the record per Order of the Presiding Officer and relied upon heavily in the Initial Decision³, Kapustin explains now that they were internal documents that were only provided to him for the purposes of bookkeeping and they had no other significance; the “Dock Receipts” are not Bills of Lading; the “Dock Receipts” were defective documents in that they contained false information, to wit: “that the exporter is [allegedly] Empire United” when in fact, Empire United was never an exporter, but rather it was “the shipper”; Kapustin never authorized Michael Hitrinov to create documents such as the “Dock Receipts” which would falsely reflect that Empire is the exporter; “Igor Ovchinnikov”, the actual owner of the one of the subject cars, should have been listed on the requisite “Dock Receipt” as consignee, and Carcont should be listed as the “warehouse”; and Hitrinov falsely promised to Kapustin to provide actual documents which would accurately reflect the identities of the shipper and the consignee, and never provided such documents although duly demanded.

Last, and specifically on the issue of witness tampering by respondents and their counsel in this matter, Kapustin explains under oath that his actions were orchestrated by respondents who threatened his life, and his actions were made under duress and under the threat of physical harm to him and his family; respondents’ coordinating litigation counsel, Jon Werner Esq., had threatened Kapustin, comparing him to the “Deceased Mr. Berezovsky” a Russian Oligarch suspected to have been murdered; and that Kapustin clearly understood respondents’ statements to be a threat against him when he understood respondents’ to mean: “you were not as rich as Mr. Berezovsky. Mr. Berezovsky is already in the grave and you are still walking around”.

³ See, footnote “2” herein.

It is respectfully submitted that Kapustin's deposition testimony set forth below, provided by him after his conviction in the criminal matter, and to the extent supplemented by his February 25, 2019 deposition (two days prior to him surrendering himself into Federal custody), warrants consideration by the Commission in resolving what has now been exposed to be an unabashed and brazen manipulation of a legal system meant to regulate the actions those subject to the jurisdiction of this Commission. It should be noted that Mr. Kapustin's imminent surrender in Federal custody, as well as his statements below regarding an alleged incident which purportedly occurred with respondents demonstrate that at the time of the deposition, he had no interest in minimizing his Federal criminal sentence. Specifically, as to the incident which allegedly occurred wherein he purportedly threatened respondents, he explains as follows:

Q. Okay. Are you aware that -- You had an encounter with Mr. Hitrinov in Tatiana Restaurant in the summer, last summer, correct?

A. Yes.

Q. And you did know that he reported you to your probation officer, correct?

A. Yes.

Q. Do you know that he also filed a police report against you?

A. No.

Q. I am going to represent to you that in that police report, he stated to the police that you during an encounter in summer of 2018, you threatened to murder him.

A. Really, how?

Q. Did you -- Just for the record, did you, in fact, make any threats to Mr. Hitrinov like that?

A. No. And I have four witnesses that could testify that nothing of the kind happened.

See, Excerpt of Transcript from the deposition of Sergey Kapustin, of February 25, 2019 in the matter of *Ardak Akishev, et al. v. Sergey Kapustin et al.*, U.S.D.C. – D.N.J. Docket No.: 13-cv-07152, annexed hereto as Appendix "A" at pp. 299-300.

Prior to going into detail regarding Kapustin's deposition testimony below, the Commission is respectfully asked to note that in the matter of *Ardak Akishev, et al. v. Sergey Kapustin, et al.*, U.S.D.C. – D.N.J. Docket No.: 13-cv-07152, and after Mr. Werner was disqualified as counsel for respondents Empire and Hitrinov herein, they were directed by the Court to obtain new counsel prior to the conduct of the February 25, 2019 deposition, which as of the time of this writing, they have failed to do. To the extent that it is anticipated that respondents may attempt to argue that Kapustin's deposition testimony may somehow be inadmissible, we note that respondents' failure to participate in the February 25, 2019 deposition was of their own doing and that they were noticed of the scheduling of same.

MS. TEMKIN: I just want also state for the record that the cross-claim Defendants were noticed for this deposition and there is no one who is appearing today from their side.

See, Appendix "A" at p. 163/ln. 19-24.

Q. Okay. When are you surrendering into Federal custody?

A. On the 27th, the day after tomorrow.

See, Appendix "A" at p. 303/ln. 112-15.

I. Kapustin Testifies Under Oath That: (1) Respondents' Only Roles With Regard To The Subject Automobiles Was To Ship Them And Store Them In Kotka, Finland; (2) Respondents Were Never Partners, Investors, 60% Owners, Nor Owners To "...Even To A Wheel Of A Car..." With Regard To The Subject Automobiles At Issue And That Rather, Respondents Were Creditors Who Provided Kapustin With A Credit Line In The Total Amount Of \$450,120.00 With A 1.5 Percent Monthly Interest Rate

Q. Mr. Kapustin, can you just again just reiterate the terms of – you restarted your relationship with Mr. Hitrinov in 2011. And he -- what were the terms of your financial arrangement with him?

A. So, the arrangement was as follows: I provided cars to be shipped, thus giving him business. And in return, he provided the credit line in terms of 1.5 to 2 percent of interest per month. The cars were shipped to his warehouse in Finland, either to

clients or to my company. And on the first of each month, I paid interest on the credit line. And, of course, each businessman has to secure his position in business relations. So, our arrangement was, for example, if he provided the credit line in the amount of one hundred thousand United States dollars, I was supposed to ship and have him hold the cars valued at one hundred thirty to one hundred fifty thousand. So, that was the arrangement based on 70, 30 arrangement. But, in fact, I always had more cars shipped through him at any certain point in time. He would have three, four times more cars than required by that 70, 30 arrangement. For example, if the credit line is four hundred thousand, it means that you should have cars valued at four hundred thousand plus two hundred thousand. So, he breeched his obligations. But it did not effect me much. Because, like I said, there were more cars at any certain period of time than required.

See, Appendix "A" at p. 232/ln. 11-25; p. 233/ln. 2-16; p. 234/ln. 9-16.

Q. How did his security work pertaining to the line of credit? What was the nature of the 40, 60 percent arrangement?

A. So, first of all, I paid him interest on a monthly basis. And those were the transfers from bank to bank. And everything was accounted for. So, for example, if we take a loan of four hundred thousand and, according to our arrangement, I was supposed to have cars going through his operations valued at seven hundred thousand United States dollars. If I need to have a car released and it would lead to decrease of that amount, I would have had to pay a difference. But I never had that situation, because I always had more cars going through his operations than required. But if that balance decreased, I would pay him, transfer him the money and repay the credit line I had with him.

Q. There were certain cars that were so called put on balance with Mr. Hitrinov. What did that mean?

A. So, that is related to my answer to the previous question. That is to regulate the amount of cars, the value of cars at his possession so he could have the piece of mind. And so, he would see that the business is going as agreed.

See, Appendix "A" at p.228/ln. 19-25; p.229/ln.2-24

Q. Okay. So, regarding the line of credit that you had with Empire and with Mr. Hitrinov, was Mr. Hitrinov an investor in your business ventures he claims he is?

A. No. He has never been an investor.

See, Appendix "A" at p.226/ln. 18-23.

Q. Did Mr. Hitrinov or Empire United have any ownership interest in the cars that were located in the warehouses of Car Cont?

A. No. He did not have the right of ownership to a single car, ***not even to a wheel of a car.***

See, Appendix “A” at p.228/ln. 12-18. (Emphasis added).

Q. You are aware that Mr. Hitrinov claimed that he owned the cars that you shipped through him even to clients? Are you aware of that?

A. Let him show me the proof that he owned those cars. Yes, I heard from many clients that he claimed that the cars were owned by him. And took it to the clients, they did not understand how the cars might have been owned by him.

Q. I understand that. But I am asking about your understanding of your relationship with Mr. Hitrinov. What did you understand?

A. He had nothing to do with the cars. So, he had nothing to do with the cars. He had something to do with the credit line. And it was paid always on time without any delays, according to schedule. He also had relations with MSC through which he shipped. And his services were promptly paid for according to invoices he provided without any delays. And even before the car reached Finland, it was already paid. So, there were no delays, no debts. All the interest was paid on time.

See, Appendix “A” at p. 217/ln. 21-25; p.218/ln. 2-23.

II. Kapustin Testifies Under Oath That When Each Of The Subject Automobiles Was Shipped From The United States To Finland, Respondents Were Provided With An Original Title And Bill Of Sale In The Name Of The Client, And That All Of The Clients’ Cars Were Accompanied By Bill Of Sale

On this issue, the Commission may recall Complainants’ Exceptions to the Initial Decision, (Document # 173; dated May 3, 2017 at pp. 46-47) wherein complainants explained that the respondents, on multiple occasions, requested that Global provide respondents with Global’s invoices for the sale of the subject vehicles (in the event that Global had not already provided them to respondents) which further establishes that respondents were aware of the identity of the ultimate consignees:

Q. To your understanding, what type of documents are involved when a car is shipped from the United States to Finland?

A. Original title in the name of the individual who bought the car, who became the owner.

Q. And what name would usually be on the title? Would that be a name of a customer?

A. No. My company is entered on the title. And I issue a bill of sale in the name of the client. All the clients cars were accompanied by bill of sale.

Q. So, there is a title and a bill of sale?

A. Yes. A title and a bill of sale.

See, Appendix "A" at p. 196/ln.12-25; p. 197/ln. 2-5.

III. Kapustin Testifies Under Oath That: (1) Neither Respondent Hitrinov Nor Respondent Empire United Lines Co. Inc. Ever Advised Kapustin That Respondents Submitted Shipper's Export Declarations For The Subject Automobiles To The U.S. Department Of Commerce On Behalf Of Global Auto; (2) Kapustin Never Authorized Respondents To File Such Declarations With The U.S. Department Of Commerce On Behalf Of Global Auto; and (3) Kapustin Was Never Provided With Such Shipper's Export Declarations

Q. Do you know, is a shipper required to fill out any documents with the custom or with the port authorities in order to ship the car?

A. Of course, I believe some sort of declarations exist.

Q. Did you ever filled them out?

A. No. That was not part of my business.

See, Appendix "A" at p.198/ln. 12-20.

As to Plaintiff's Exhibit 21 referred to in the testimony below, See, Appendix "A" at p.267/ln.21.

Q. Just take a look at this and let me know if you have seen this document before.

A. No, I have not seen it.

Q. Again, I represent to you that this is a print out of the shippers declaration that was submitted to the U.S. Department of Commerce on behalf of Global Auto. Did Mr. Hitrinov or Empire United ever tell you that he submitted those documents, those declarations with the U.S. Department of Commerce on behalf of Global Auto?

A. No.

Q. Did you authorize Mr. Hitrinov to file such declaration with the U.S. Department of Commerce on behalf of Global Auto?

A. No.

See, Appendix "A" at p.268/ln. 3-21

IV. Kapustin Testifies Under Oath That: (1) He Never Authorized Empire United Lines Co. Inc. To List Carcont As An Ultimate Consignee; (2) The Ultimate Consignee Should Have Been Stated On The Requisite Shipper's Export Declarations And That The Actual Owner Of The Car Is The Client Who Bought That Car, For Example Complainant Igor Ovchinnikov, Even If Carcont Was Listed As The Warehouse Where The Car Is Shipped

Q. Have you ever authorized Empire United Lines to list Car Cont as an ultimate consignee?

A. I did not, but he did it on his own. No. When we worked with him and the cars were shipped to Finland to Car Cont warehouse, I knew that the cars were shipped to Car Cont.

See, Appendix "A" at p.269/ln. 14-21

Q. So, who should be listed – to your understanding, with customs, with the U.S. Department of Commerce, who should be listed as ultimate consignee, meaning ultimate owner of the car? Should it be Car Cont?

A. No. The owner, the owner. No. Car Cont is a warehouse. While the client is the owner of the car. The actual owner is the client who bought that car.

Q. Did you know that in 2011 and 2012, Empire United and Mr. Hitrinov actually listed Car Cont as the ultimate owner or ultimate consignee of all this, all the cars that had shipped, that all the cars that had shipped for Global?

A. But please differentiate between consignee and the owner of the car. Those are two different things. Actually, I now remember the name of the client for this car. His name is Igor Ovchinnikov, O-V-C-H-I-N-N-I-K-O-V, I-G-O-R. And he is the owner of the car because he bought this car. And Car Cont is just a warehouse. So, technically, it should state here Igor Ovchinnikov, Russia, address such and such. While the Car Cont would be listed as the warehouse where the car is shipped. If the car would be shipped directly to Russia, it would say here customs of St. Petersburg, Igor Ovchinnikov and so on.

See, Appendix "A" at p.271/ln. 3-25; p. 272/ln. 2-9.

V. Kapustin Testifies Under Oath That: (1) The Client Had The Option To Pay 30% To 50% Of Monies Due And Owing For Charges Related To The Subject Cars And Then Pay The Balance And That This Would Not Have An Impact On Shipping Instructions From Global To Empire Regarding Delivery Of The Car; (2) Empire Was Aware Of All Arrangements And Empire Knew The Clients, Whether Or Not The Car Was Shipped To An Individual Who Ordered That Car Or Whether It Was A Car Which Global Bought And Shipped To Finland; (3) Empire Had All Of The Requisite Information At The Moment That Global Sent A Request To Empire To Ship A Car, For Example "Where, From Who To Who"; (4) Kapustin Understood That If His Client Buys The Car And If The Car Was Shipped To His Client, The Name Of The Client Would Have Been Entered On The Bill Of Lading

Q. And when -- let's take a hypothetical client, Mr. Smith. Mr. Smith buys a car. Let's say Mr. Smith buys a Nissan. Does he pay you all the money for the car right away?

A. He has an option to pay the car in full and he will not be punished for that. But generally, a client would pay 30 to 50 percent and then, pay the balance after the car arrives at the port in Finland.

Q. And I am talking about the time when Mr. Hitrinov was shipping the cars. Once Mr. Smith orders that Nissan, he pays you, let's assume he pays Global 50 percent. What were Global instructions to the shipper?

A. Those were the same instructions. We deliver the car and the car gets shipped to the ultimate destination. Nothing will change.

Q. Did Empire know that it was -- that the car was shipped for the customer, for Mr. Smith?

A. Yes, yes. Empire knew everything. Empire knew the clients, whether the car was shipped to an individual who ordered that car or was it the car which I bought and shipped to Finland. Empire had all the information, where, from who to who.

Q. When you were sending requests to Empire to ship a car, at that moment, did Empire know that the car was being shipped for Mr. Smith?

A. Yes, of course.

Q. And how would Empire know about it?

A. During our communication.

Q. Who would communicate that to Empire?

A. I would. My accountant would.

See, Appendix "A" at p.212/ln. 8-25; p. 213/ln. 2-25.

Q. We discussed a little earlier that on those documents, on the port documents, bills of lading, they would -- a consignee and an ultimate consignee would have to be mentioned. Is it your understanding that Mr. Smith would be mentioned in those documents that Empire had to prepare?

A. That is absolutely correct. If the car was shipped to a client, the name of the client should have been entered on the bill of lading.

See, Appendix "A" at p.214/ln. 13-24.

Q. So, back to -- okay. So, back to Mr. Smith who prepaid 50 percent for the -- of the price of the car. Once the prepayment is made, is it correct that Empire knows that the car is shipped for the benefit of Mr. Smith?

A. Yes, of course.

Q. And then, what are instructions to Empire regarding the release of the car to Mr. Smith?

A. My company sends an e-mail stating that this particular car is can now be released to a certain individual, certain name, so there is no balance, no debts and asking to release the car to the client.

See, Appendix "A" at p.217/ln. 5-20.

Q. Did Global or Effect or SK ship the cars through Car Cont that were not sold to customers?

A. Yes.

Q. And what was the percentage of those cars?

A. 40 percent, 30 percent.

Q. And in that event, if the car was not sold to a customer, did Car Cont know about -
- did Empire or Car Cont, did they know about that?

A. Yes, of course.

Q. How would they know?

A. Through us, through our companies.

Q. Were you providing them with specific instructions?

A. Yes, of course. By saying that it was our car.

See, Appendix "A" at p.223/ln.16-25; p.224/ln. 2-10.

VI. Kapustin Testifies Under Oath That: (1) Global Auto Never Treated The Identity Of Its Customers As Confidential In Its Dealings With Empire United Lines Co. Inc. Or Carcont, And That They Have No Secrets Between Them; And (2) Carcont Knew Which Cars Coming From Global Auto Were Destined To Be Delivered To A Certain Customer

Q. Did Global Auto ever treat identity of its customers as confidential in its dealings with Empire or CarCont?

A. Please ask me the question again.

Q. Did -- when the cars, when the vehicles were shipped by Global Auto to customers using Empire, did Empire know the identity of the customers?

A. Yes, of course. We had no secrets.

Q. But, did CarCont know that a car was coming from Global Auto that was destined to be delivered to a certain customer?

A. Of course.

See, Appendix "A" at p. 248/ln. 24-25; p. 249/ln. 2-15.

VII. Kapustin Testifies Under Oath That: (1) Empire United Lines Co. Inc. Provided Only "Dock Receipts" For The Delivery Of The Subject Cars; (2) Kapustin Requested That Empire Provide Its Own, To Wit: "Empire" Bills Of Lading (3) Irina Kapustina's Letter Of January 11, 2012 Looks Like It "Is Some Kind Of Nonsense" And Was Not A Real Letterhead Used By Effect Auto Sales; (4) There Is No Original Of Kapustina's Letter Of January 11, 2012; (5) The Letterhead Of Kapustina's Letter Of January 11, 2012, Has The Name Of The Company That Is A U.S. Company While The Telephone Numbers Listed In This Letterhead Are Russian Telephone Numbers; (6) The Moscow And The Other Phone Numbers Listed On Kapustina's Letter Of January 11, 2012 Do Not Look Familiar To Him; And (7) Irina Kapustina Did Not Have Authority To Write The Letter Of January 11, 2012, And Only Sergey Kapustin Was Responsible And Had Authority For Operations Of Kapustin's Companies

The letter of Irina Kapustina referred to below is cited in the Initial Decision in Finding of Fact #51 and in pp. 57 and 61 of the Initial Decision:

Q. And you said that -- at no point, did Empire provide you with bills of lading, correct?

A. They did not. They only provided us with dock receipts.

Q. Did you ever request Empire to provide bills of lading?

- A. We asked, but he kind of like tried to obscure this issue with saying you have the dock receipt and that is enough.

See, Appendix "A" at p. 249/ln. 25; p. 250/ln. 2-10.

- Q. I am going to show you a document that I am going to mark as Plaintiff's Exhibit 17 for identification....

- Q. ...The interpreter will translate it for you.

- A. This is some kind of nonsense. This was apparently drafted by Michael Hitrinov. This is his style. This basically says that no documents are needed. But by us, just take the cars. That is what it says. And apparently, we do not see the original of the document and the signature was probably photo-shopped. It was taken from some other document signed by Irina Kapustin and in order to use it later. And now, I see that it is being used. And here, at the letterhead, the name of the company is of a U.S. company and the telephone numbers are Russian telephone numbers, Moscow. And this is nonsense as well. Did you see that?

- Q. I did. That was my next question. Is this letter that has a letterhead, that is a real letterhead that was used by Effect Auto Sales, to your knowledge?

- A. No. The address is correct. The company is registered in Delran, D-E-L-R-A-N, New Jersey. But what does Moscow have to do with it?

See, Appendix "A" at p. 250/ln. 11-13; p. 251/ln. 3-25; p. 252/ln. 2-6.

- Q. Did any Global Auto Companies have a number registered in Russia where customers could call?

- A. No. It was a United States company.

- Q. So, when customers needed to call Global Auto, which number did they use?

- A. (908) 351-5888. That is the original phone number of Global Auto. There was also a number in Pennsylvania and I simply don't recall that.

See, Appendix "A" at p. 252/ln. 16-25; p.253/ln.2-3.

- Q. Do any of the numbers, telephone numbers listed in this letterhead 7-495-668-1186 or the other number, do they look familiar to you?

- A. I have -- I have no idea what they are.

Q. This letter states an instruction from Irina to Michael that we do not need any Empire bill of lading. To your knowledge, was that an instruction that was given by Irina to Empire?

A. No. In fact, Irina did not work with Michael Hitrinov or with Empire United Lines. It was Svetlana Zakarzian who worked with Michael Hitrinov primarily. And even if Irina have had such authority, she would not give those instructions. And I would never give those instructions. And was actually the one who was responsible for operations of those companies..."

See, Appendix "A" at p. 253ln. 8-25; p. 254/ln. 2-3.

MS. TEMKIN: I will have this marked as Plaintiff's Exhibit 18 for identification.

Q. Does this -- this looks like a letter sent by you to Empire, from Global -- on behalf of Global Auto USA and this your signature on this document?

A. No.

See, Appendix "A" at p. 255/ln. 4-6, 17-22.

VIII. Kapustin Testified Under Oath That: (1) He Never Was Able To Read (And Still Cannot Read English) Nor Did He Review Any Papers Or Affirmations Submitted By Him In This Matter; (2) He Simply Signed Said Papers Which Were Drafted By Respondents And Their Counsel And He Followed Their Instructions To File Them With The Commission; And (3) The Documents Drafted By Respondents And Their Counsel Were "Not A Single Word Of Truth"

As to Plaintiff's Exhibits 19 and 20 referred to below, see, Appendix "A" at p. 257/ln. 13-14; p. 258/ln. 6-8.

MS. TEMKIN: I will mark this as Plaintiff's Exhibit 20 for identification. (Whereupon, the aforementioned documents was marked as Plaintiff's Exhibit 20 for identification as of this date by the Reporter.)

Q. Can you please take a look. What is Plaintiff's Exhibit 20?

A. So, what do you want me to comment on.

Q. What is this document?

A. Which one?

Q. Plaintiff's Exhibit 20.

A. An e-mail.

Q. An e-mail from who?

A. From me to secretary at FMC.GOV and to Marcus Nussbaum, Eric Jeffery. That is it as far as I see.

Q. Do you remember sending this e-mail?

A. That was the letter that Michael Hitrinov and John Werner drafted for me and made me sign and then forwarded it to me. And I e-mailed it to the addresses listed here.

Q. I am going to represent to you that that e-mail contained as an attachment this affirmation, which was marked as Plaintiff's Exhibit 19. And that affirmation had appendices, which contained those letters, marked as Plaintiff's Exhibit 17 and Plaintiff's Exhibit 18 that you just testified were made.

A. Yes.

Q. So, as we sit here today, you submitted those documents as real documents to the Federal Maritime Commission?

A. Absolutely.

See, Appendix "A" at p. 258/ln. 9-25; p. 259/ln. 2-20

Q. But where did you get them from? Did they come from your own records?

A. No. Those documents were provided to me in Finland, in the summer of 2016. I spent the whole summer of 2016 in Finland. And one of the employees of Michael Hitrinov came to me, to my motel and brought a flash drive. And he said that this flash drive contains documents that I need to print out and e-mail...So, those were the goals of John Werner and Michael Hitrinov. They wanted me to send a set of documents to the Federal Maritime Commission and to the court.

Q. Did you discuss the quantice of this information with anyone?

A. No.

See, Appendix "A" at p. 260/ln. 2-11, 18-25

Q. Did you help anyone draft this information?

A. No. And I don't know how to do it.

Q. I am talking about Plaintiff's Exhibit 19, just for the record.

A. No, no. I don't know how to do it.

Q. Has anyone discussed – asked you questions when they were drafting this information before you submitted it to FMC?

A. No.

Q. Have you participated in any way in providing facts or providing documents for the draft of this affirmation, which is marked as Plaintiff's Exhibit 19?

A. No.

Q. How did you obtain this document?

A. On a flash drive.

Q. When did you receive this document? Do you recollect?

A. In the summer of 2016.

See, Appendix "A" at p. 261/ln. 2-25.

Q. Do you recollect reading this document?

A. No. I can't read English.

Q. How did you know that you were to send it to FMC?

A. Mr. Hitrinov and his attorney told me that. They said that I had to do that.

Q. How did you find out the e-mail address of FMC where you had to send it?

A. Mr. Hitrinov provided it to me. He told me to send these documents to FMC, to Mr. Nussbaum and to another male listed there.

See, Appendix "A" at p. 262/ln. 2-15.

IX. Kapustin Explains That There Is “Not A Single Word Of Truth” To The Defamatory Statements About The Undersigned Counsel Contained In His Affirmation Filed With The Commission

- Q. I am going to represent to you that in this affirmation, you purport to claim that Mr. Nussbaum is a sick individual, that all the documents that were submitted to FMC on behalf of Plaintiffs, customers were altered by Mr. Nussbaum and fabricated by Mr. Nussbaum and also that you were being blackmailed by Mr. Nussbaum. As we sit here today, is there any truth to those statements I just described?
- A. Not a single word of truth. And I did not even read this. If I have read this and if I had learned that it speaks about his personal life, social life and that there are claims that he is an imbecile, I would not sign that. Because I know him. I worked with him. He is a totally normal guy.

See, Appendix “A” at p. 265/ln. 17-25; p. 266/ln. 2-12.

X. Kapustin Testifies Under Oath That: (1) The “Dock Receipts” Attached To His Affirmation Submitted To The Commission Are Internal Documents That Were Only Provided To Kapustin For The Purposes Of Bookkeeping And They Had No Other Significance;(2) The “Dock Receipts” Are Not Bills Of Lading; (3) The “Dock Receipts” Were Defective Documents In That They Contained False Information, To Wit: “That The Exporter Is Empire United” When In Fact, Empire United Was Never An Exporter, But Rather It Was “The Shipper”; (4) Kapustin Never Authorized Michael Hitrinov To Create Documents Such As The “Dock Receipts” Which Would Falsely Reflect That Empire Is The Exporter; (5) “Igor Ovchinnikov” The Actual Owner Of The One Of The Subject Cars, Should Have Been Listed On The Requisite “Dock Receipt” As Consignee, And Carcont Should Be Listed As The “Warehouse”; (6) Hitrinov Falsely Promised To Kapustin To Provide Actual Documents Which Would Accurately Reflect The Identities Of The Shipper And The Consignee, And Never Provided Such Documents Although Duly Demanded

For Plaintiff's Exhibit 22 referred to below, see, Appendix “A” at p. 272/ln. 15.

- Q. I am just going to submit to you that this is a document that was attached to your affirmation submitted to the Federal Maritime Commission. And that in your affirmation -- well, what is this document? Does this document look -- there are a number of documents. Do they look familiar to you?
- A. Yes.
- Q. What are they?

- A. This is a dock receipt. And this is not even a document. This is some kind of internal document offered by a shipping company to my company. This is basically a receipt confirming that they accepted the car for shipping. This is not a bill of lading. Bill of lading looks different.
- Q. I am going to represent to you that what is drafted in your affirmation is that this documents evidence, that these documents pertain to the investment vehicles between you and Empire United. And that there was an agreement that these are bill of lading instructions, which would list shipper as Empire United and consignee is Car Cont. And it would list exporter as Empire United. Was it indeed the arrangement regarding those vehicles?
- A. First of all, I already said that and I will say it again, that there were no investments made to the cars. There was a credit line that existed. Secondly, it says here that the exporter is Empire United. But, in fact, Empire United was never an exporter. It was the shipper. And the cars were shipped to Car Cont. And Car Cont was just a warehouse. And if you look at Plaintiff's Exhibit 21 and Plaintiff's Exhibit 22, whatever documents were submitted to the Department of Commerce, we could see that, for example, in Plaintiff's Exhibit 21, it says the name Global Auto. While in Plaintiff's Exhibit 22, it says Empire United. If this document would have been drafted correctly, it should have stated the cosigner is Global or should state Global as the cosigner. Igor Ovchinnikov, the actual owner of the car, would be listed here as consignee. And Car Cont would be listed here as the warehouse in Kotka Finland where the car was shipped.
- Q. Did you ever authorize Mr. Michael Hitrinov to create documents like this to reflect that Empire is actually the exporter?
- A. No.
- Q. Did you ever correct Mr. Hitrinov when you -- Did you receive those documents from Mr. Hitrinov at the time when the cars were shipped?
- A. Dock receipts, yes. He e-mailed them to me. But again, the only information I needed from this document is the container number so I could provide it to the client so the client could track the container.
- Q. So, was it your understanding that this is just an internal document that is only provided to you for the purpose of bookkeeping?
- A. Yes. Internal document, it had no significance. This is not a bill of lading. Because I have asked him quite a few times where does it say who is the shipper, who is the cosigner, who is the consignee and his reply would be don't pay any attention. If you need actual documents, I would provide it to you. But he never did.

See, Appendix "A" at p. 272/ln. 21-25; p.273-275; p.276/ln. 2-8.

XI. Kapustin Testified Under Oath That: (1) His Actions Were Orchestrated By Respondents Who Threatened His Life, And His Actions Were Made Under Duress And Under The Threat Of Physical Harm To Him And His Family; (2) Respondents' Coordinating Litigation Counsel, Jon Werner Esq., Had Threatened Kapustin, Comparing Him To The "Deceased Mr. Berezovsky" A Russian Oligarch Suspected To Have Been Murdered; (3) Kapustin Clearly Understood Respondents' Statements To Be A Threat Against Him When Respondents Told Him "You Were Not As Rich As Mr. Berezovsky. Mr. Berezovsky Is Already In The Grave And You Are Still Walking Around"

The Commission may recall that this particular issue was brought to the Commission's attention previously.⁴ For Exhibit 16 referred to below, see, Appendix "A" at p.178/ln. 15.

Q. I want to turn your attention to the third page of this document package. And there is an e-mail dated June 2, 2015 from Mr. Werner. And it says, "Mr. Kapustin, my clients understand that you are a wealthy man but not as wealthy as the deceased Mr. Berezovsky, B-E-R-E-Z-O-V-S-K-Y." Do you recollect receiving this e-mail?

A. Yes, I remember.

Q. I want to say -- I mention, by the way, did anyone translate those e-mails to you at the time when you received them?

A. I translated those e-mails myself. Maybe somebody else assisted me as well, but I translated that e-mail myself. I remember this e-mail very well. I remember that letter very well. And I remember the arguments I had. At that time, Mr. Berezovsky died. And his death, the cause of his death was not clear. There was a possibility that he might have been murdered or died from natural causes. And Michael Hitrinov and John Werner sieged me by threatening my parents, threatening me and also threatening to file claim in the amount of \$35 million. And by eluding to Mr. Berezovsky, he says that Mr. Berezovsky was a extremely wealthy man and he passed away. You are not as wealthy as Mr. Berezovsky. So, it would will be easier to do away with you.

Q. Did you perceive this as a threat?

A. Yes. How else could that be perceived? You were not as rich as Mr. Berezovsky. Mr. Berezovsky is already in the grave and you are still walking around.

Q. Was Mr. Berezovsky discussed by you and Mr. Werner, by you and Mr. Hitrinov previously to this -- prior to this e-mail?

A. I think the whole world discussed the death of Mr. Berezovsky, but we personally did not discuss that.

⁴ See, Complainants' Response To Respondents Motion For Who Knows What, dated July 31, 2018 (Document #190, FMC Docket No.: 15-11, at p.4). and in footnote no.: 2 from Complainants' last Status Report of January 28, 2019 (Document #194 on this docket).

Q. So, this was the first time Mr. Berezovsky was mentioned by Mr. Werner to you?

A. Yes. And I would say that it is sort to say point blank hint.

See, Appendix “A” at p. 180/ln. 13-25; p.181; p. 182/ln. 2-17.

CONCLUSION

Ralph Waldo Emerson, the American essayist, lecturer, philosopher, and poet who led the transcendentalist movement of the mid-19th century, once stated that: “what lies behind you and what lies in front of you, pales in comparison to what lies inside of you”. The story of Mr. Kapustin as set forth herein speaks much as to his past, as well as to what his immediate future may entail. As to the veracity of his testimony under oath set forth herein, and his internal motivations for ‘coming clean’ and attempting to right the wrongs suffered by complainants herein, it would seem that those issues now lie within the sole province of the Commission while determining what to do with this new information.

Consequently the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a ‘change in status’ of this case with regard to both respondent, Hitrinov and his counsel, as well as to non-party, Kapustin so as to inform the Commission of said change in status as same may reflect upon or be determinative of the Commission’s Final Decision, which is currently pending.

In closing, and as always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: June 10, 2019
New York, New York

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum
Marcus A. Nussbaum, Esq.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the COMPLAINANTS' STATUS REPORT and APPENDIX upon Respondents' Counsel at the following address:

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Dated: June 10, 2019 in New York, New York.